Investor Grade Financial Modeling Framework

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Cover Page Standards

Every financial model produced under this framework must include a cover page with the following elements:

Element	Description
Company/Project Name	Prominently displayed at top center
Document Title	"Financial Model" or "Business Valuation Model"
Date	Model creation or last update date
Version Number	v1.0, v1.1, etc.
Prepared By	Author or firm name
Confidentiality Notice	Standard disclaimer text
Status	Draft, Review, or Final

Part 1: Model Architecture Standards

1.1 Tab Structure

Every model follows this standardized tab structure:

Tab Name	Purpose	Color Code
Cover	Model identification and navigation	Dark Grey
Dashboard	Executive summary with scenario toggle	Black

Assumptions	All inputs with source references	Blue
Revenue Build	Detailed revenue projections	White
Cost Build	Operating cost detail	White
Model	Three statement model (P&L, BS, CF)	Grey
DCF	Discounted cash flow valuation	Grey
Sensitivity	Data tables and tornado charts	Light Grey
Scenarios	Side by side scenario comparison	Light Grey
Comps	Comparable company analysis	Light Grey
Tax & Reg	Jurisdiction specific rates	White
Audit Trail	Source index and change log	White

1.2 Formatting Standards

Element	Standard
Input Cells	Blue font, yellow fill
Formula Cells	Black font, no fill
Linked Cells	Green font, no fill
Hard Coded Numbers	Red font (to be minimized)
Headers	Bold, grey background
Currency	No decimals for large numbers, 2 decimals for per unit
Percentages	1 decimal place

Dates	DD-MMM-YYYY format

1.3 Header on Every Tab

Each tab must display a consistent header:

Row	Content
Row 1	Company/Project Name (left aligned)
Row 2	Tab Purpose Description
Row 3	Last Updated: [Date]
Row 4	Blank separator row

Part 2: Automated Research Triggers

2.1 Industry Benchmark Database

At project initiation, the following industry benchmarks must be researched and populated:

Metric	Description	Source Priority
Gross Margin	Industry average and quartile ranges	IBISWorld, S&P Capital IQ, Industry Reports
EBITDA Margin	Operating profitability benchmark	Public company filings, Industry associations
SG&A as % Revenue	Overhead efficiency	Comparable company analysis
Revenue per Employee	Productivity metric	Industry benchmarks
Customer Churn Rate	Retention benchmark (if applicable)	SaaS metrics, Industry reports
Customer Acquisition Cost	Marketing efficiency	Industry benchmarks
Working Capital % Revenue	Cash cycle efficiency	Public company filings

2.2 Valuation Multiples Lookup

The Comps tab must be populated with current market data:

Multiple	Application	Data Sources
EV/Revenue	High growth, pre-profit companies	Capital IQ, PitchBook, Public filings
EV/EBITDA	Mature companies, standard valuation	Capital IQ, Bloomberg, Public filings
EV/EBIT	Capital intensive businesses	Public filings
P/E Ratio	Profitable public comparables	Yahoo Finance, Bloomberg
Price/Book	Asset heavy industries	Public filings

Minimum Requirements:

The comparable company analysis must include at least five comparable companies with the following data points: company name, market cap, enterprise value, revenue, EBITDA, and calculated multiples.

2.3 Tax and Regulatory Table

A standardized table must be completed for each jurisdiction:

Field	Description
Country/Region	Primary operating jurisdiction
Corporate Tax Rate	Standard rate and any special rates
VAT/GST Rate	Indirect tax rate
Withholding Tax	On dividends, interest, royalties
Social Security/Payroll Tax	Employer contribution rates
Regulatory Fees	Industry specific licenses, permits
Transfer Pricing Rules	Intercompany transaction requirements
Tax Incentives	Free zones, R&D credits, investment allowances

GCC Tax Reference Table:

Jurisdiction	Corporate Tax	VAT	Notes
UAE	9% (above AED 375k)	5%	Free zone exemptions available
Saudi Arabia	20%	15%	Zakat for Saudi owned entities
Qatar	10%	0%	No VAT currently
Bahrain	0%	10%	No corporate tax
Oman	15%	5%	Standard rate
Kuwait	15%	0%	Foreign companies only

Part 3: Standard Calculation Library

3.1 Core Financial Formulas

Calculation	Excel Formula	Purpose
Dynamic Lookup	`=INDEX(range,MATCH(lookup,column,0),MATCH(lookup,row,0))`	Replace VLOOKUP for flexibility
Scenario Toggle	`=CHOOSE(ScenarioSelector,Base,Bull,Bear,Stress)`	Switch between scenarios
Conditional Sum	`=SUMIFS(sum_range,criteria_range1,criteria1,...)`	Revenue by segment, cohort analysis
NPV with Dates	`=XNPV(rate,cash_flows,dates)`	Accurate present value calculation
IRR with Dates	`=XIRR(cash_flows,dates)`	Accurate return calculation
Loan Payment	`=PMT(rate/12,periods*12,-principal)`	Debt schedule
Interest Portion	`=IPMT(rate/12,period,periods*12,-principal)`	Interest expense calculation

Rolling Average	`=AVERAGE(OFFSET(start_cell,0,0,1,periods))`	Trailing metrics

3.2 Valuation Formulas

Calculation	Formula	Notes
WACC	`=E/(D+E)*Ke + D/(D+E)*Kd*(1-T)`	Weighted average cost of capital
Cost of Equity (CAPM)	`=Rf + Beta*(Rm-Rf) + Size Premium`	Risk adjusted return
Terminal Value (Perpetuity)	`=FCF*(1+g)/(WACC-g)`	Gordon growth model
Terminal Value (Exit Multiple)	`=EBITDA*Exit_Multiple`	Market based approach
Enterprise Value	`=NPV(WACC,FCFs) + PV(Terminal Value)`	Sum of discounted cash flows
Equity Value	`=Enterprise Value - Net Debt + Cash`	Value to shareholders

3.3 Operational Metrics Formulas

Metric	Formula	Interpretation
Gross Margin	`=(Revenue-COGS)/Revenue`	Production efficiency
EBITDA Margin	`=EBITDA/Revenue`	Operating profitability
Net Margin	`=Net Income/Revenue`	Bottom line profitability
ROI	`=(Gain-Cost)/Cost`	Investment return
ROE	`=Net Income/Shareholders Equity`	Return to equity holders
ROA	`=Net Income/Total Assets`	Asset efficiency
Current Ratio	`=Current Assets/Current Liabilities`	Short term liquidity

Quick Ratio	`=(Cash+Receivables)/Current Liabilities`	Immediate liquidity
DSO	`=(Avg Receivables/Revenue)*365`	Collection efficiency
DPO	`=(Avg Payables/COGS)*365`	Payment timing
Inventory Turns	`=COGS/Avg Inventory`	Stock efficiency
Cash Conversion Cycle	`=DSO + DIO - DPO`	Working capital cycle

3.4 Breakeven and Payback Formulas

Calculation	Formula	Application
Breakeven Units	`=Fixed Costs/(Price-Variable Cost per Unit)`	Volume required
Breakeven Revenue	`=Fixed Costs/Contribution Margin %`	Revenue required
Payback Period	`=Initial Investment/Annual Cash Flow`	Simple payback
Discounted Payback	Count periods until cumulative PV > 0	Time value adjusted

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Part 4: SME Escalation Protocol

4.1 Trigger Questions

Before finalizing any model, answer the following questions. If "Yes" to any, an SME consultation is required:

Question	Required SME	Action
Does the model involve financial derivatives or hedging instruments?	Quantitative Analyst	Document derivative terms, request pricing model

Are there complex revenue recognition rules (multi-element arrangements, long term contracts)?	Technical Accountant	Request revenue recognition memo
Does the valuation depend on intellectual property with no market comparables?	IP Valuation Specialist	Request IP valuation report
Are there multi-jurisdictional tax implications beyond standard rates?	International Tax Advisor	Request tax structure memo
Does the business operate in a heavily regulated industry (healthcare, financial services)?	Industry Regulatory Expert	Request compliance checklist
Are there contingent liabilities or earn-out structures?	M&A Legal Counsel	Request legal structure memo
Does the model require Monte Carlo simulation for key variables?	Quantitative Analyst	Request simulation parameters

4.2 SME Request Template

When SME input is required, submit the following:

Field	Content
Request ID	Unique identifier
Date Submitted	Submission date
Project Name	Company/project being modeled
Question/Issue	Specific question requiring expertise
Context	Background information
Impact on Model	Which assumptions/outputs are affected
Deadline	Required response date
Priority	High, Medium, Low

Part 5: Dashboard Standards

5.1 Required Dashboard Metrics

Every model dashboard must display the following metrics:

Category	Metrics
Valuation	Enterprise Value, Equity Value, Implied Share Price
Returns	IRR, ROI, MOIC (Multiple on Invested Capital)
Profitability	Revenue CAGR, EBITDA Margin (Year 5), Net Margin (Year 5)
Breakeven	Breakeven Month, Breakeven Revenue
Payback	Payback Period (months), Discounted Payback
Liquidity	Minimum Cash Balance, Peak Funding Requirement
Unit Economics	LTV/CAC Ratio, Gross Margin per Unit

5.2 Dashboard Layout

The dashboard follows a standardized layout:

Section	Position	Content
Header	Top	Company name, date, scenario selector
Key Metrics Cards	Row 1	4 to 6 headline numbers (EV, IRR, Payback, etc.)
Revenue Chart	Left Middle	Revenue growth over forecast period
Profitability Chart	Right Middle	EBITDA and Net Income trend

Scenario Comparison	Bottom Left	Table comparing Base, Bull, Bear
Sensitivity Summary	Bottom Right	Key driver impact ranges

5.3 Scenario Toggle

The dashboard must include a scenario selector that updates all metrics:

Scenario	Definition
Base Case	Most likely outcome based on validated assumptions
Bull Case	Optimistic assumptions (typically +20% revenue, +5% margin)
Bear Case	Pessimistic assumptions (typically -20% revenue, -5% margin)
Stress Test	Extreme downside (typically -40% revenue, breakeven margins)

Part 6: Workflow Process

6.1 Complete Workflow Steps

Step	Action	Output
1	Receive project brief	Requirements document
2	Create model file with cover page	Initialized Excel file
3	Research and populate Industry Benchmarks	Completed benchmark table
4	Research and populate Valuation Multiples	Completed comps table
5	Research and populate Tax/Regulatory table	Completed tax table

6	Document all assumptions with sources	Completed assumption register
7	Run gap analysis	Gap report with research requests
8	Answer SME escalation questions	SME requests if needed
9	Build Revenue model	Completed revenue build
10	Build Cost model	Completed cost build
11	Build Three Statement model	Linked P&L, BS, CF
12	Build DCF valuation	Completed DCF with terminal value
13	Build Sensitivity analysis	Data tables and tornado charts
14	Build Scenario comparison	Side by side outputs
15	Build Dashboard	Completed executive dashboard
16	Perform QA checks	Completed checklist
17	Generate outputs	Excel, PDF summary, PowerPoint
18	Deliver to user	Final package

6.2 Quality Assurance Checklist

Check	Verification
Balance sheet balances in all periods	Assets = Liabilities + Equity
Cash flow reconciles to balance sheet	Ending cash = BS cash
All assumptions have source references	No undocumented inputs
Formulas are consistent across periods	Same formula structure
Scenarios produce logical results	Bull > Base > Bear

Dashboard updates with scenario toggle	All metrics refresh
No circular reference errors	Iteration not required
Print layout is professional	Headers, footers, page breaks

Part 7: Integration with Chief of Staff Research

7.1 Research to Model Mapping

Research Deliverable	Model Section	Assumptions Populated
Market Sizing Report	Revenue Build	TAM, SAM, SOM, Market Share
Competitive Analysis	Assumptions, Comps	Margins, Pricing, Multiples
Customer Research	Revenue Build	ARPU, Churn, LTV, CAC
Industry Trends	Growth Rates	Revenue CAGR, Market Growth
Regulatory Analysis	Tax & Reg, Risk	Compliance Costs, Barriers
Voice Note Transcripts	Audit Trail	Linked to specific assumptions

7.2 Assumption Validation Protocol

Every assumption must be validated against research:

Validation Level	Requirement
Level 1: Verified	Multiple independent sources confirm the figure
Level 2: Supported	Single credible source supports the figure
Level 3: Estimated	Management estimate with documented rationale

Level 4: Gap	No supporting data, research request generated

Appendix A: Reference Tables

A.1 Industry Margin Benchmarks (Sample)

Industry	Gross Margin	EBITDA Margin	Net Margin
Software/SaaS	70-85%	20-35%	15-25%
Professional Services	30-50%	15-25%	10-15%
Retail	25-45%	5-15%	2-8%
Manufacturing	20-40%	10-20%	5-12%
Construction	15-25%	5-12%	2-6%
Healthcare Services	40-60%	15-25%	8-15%
Real Estate	30-50%	25-40%	15-25%
Financial Services	50-70%	25-40%	15-30%

A.2 Valuation Multiple Ranges (Sample)

Sector	EV/Revenue	EV/EBITDA	Notes
High Growth SaaS	5x-15x	20x-40x	ARR based
Mature Software	2x-5x	10x-15x	Profitable
Professional Services	1x-3x	8x-12x	People dependent
Manufacturing	0.5x-1.5x	6x-10x	Asset based
Retail	0.3x-1x	5x-8x	Inventory heavy
Healthcare	1x-4x	10x-15x	Regulated

This framework is designed for use with Manus AI to produce consistent, investor grade financial models with full research integration and audit trail capability.